

MRVL — Prep Notes

Marvell Technology, Inc. · episode 2026-08-28 · price \$216.70 · call: **WATCH**

Everything on every slide, in plain language, so you know what you're saying before the camera is on. Full script and sources: **SCRIPT.md** / **SOURCES.md** in the episode folder. This document is a reading copy, not a replacement for the deck.

THE FIVE THINGS THIS EPISODE FOUND

1. Today's beat — \$39M above the midpoint — was the biggest in six quarters, and the stock fell 10% anyway. Beat size has never predicted the reaction.
2. Data Center revenue grew 46% year-over-year and now makes up 79% of total revenue, while Communications actually shrank 3% quarter-over-quarter.
3. Marvell financed 55% of its \$3.5B Celestial AI deal in stock, with the rest an earnout pegged to its own stock price — already a \$302.7M swing to GAAP earnings.
4. NVIDIA holds \$2.0B of Marvell preferred stock convertible at \$91.84 a share — less than half of where Marvell trades today.
5. Insider selling: seven executives sold \$48.1M combined over 16 months (recomputed from 101 Form 4 filings); the only buying was one routine payroll-deduction event.

THE CALL

WATCH — The Data Center growth is real. So is the earnout tax on every AI headline this stock trades on.

Model range: bear \$42.44 · base \$122.61 · bull \$298.58 · my line (mid) \$210.59

SLIDE BY SLIDE

SLIDE 1 of 9 · THE BEAT WASN'T THE STORY

It beat. It still fell.

Marvell dropped 10% the session after a beat and a raised outlook.

ON SCREEN: Four things they filed. None made the headline.

WHAT TO SAY

COLD OPEN, to camera before the deck: Marvell just beat every single number on its earnings report and raised its outlook again — and the stock fell double digits today anyway. That does not make sense until you read what is actually in the filings. Four things buried in the 10-Q and the fine print explain what the headline beat does not. THEN the slide: here they are. TARGET 24s.

THE FULL EXPLANATION (for you, not on screen)

Marvell reported Tuesday: revenue up 37%, a beat, guidance raised again. The stock fell 10% the very next session. That gap between the headline and the tape is where these four things live — buried in the notes to a 10-Q filed three months ago, not in Tuesday's press release. We take each one in turn.

SOURCE: 8-K EX-99.1, filed Aug 27 2026, plus the Q1 FY27 10-Q

SLIDE 2 of 9 · THE SCOREBOARD

A record quarter. A GAAP number that lags.

ON SCREEN: GAAP EPS is 35% of non-GAAP. That gap is not just stock comp.

WHAT TO SAY

First, the quarter as reported yesterday after the close. Revenue two point seven three nine billion, a record, up thirty seven percent year over year. Non-GAAP earnings ninety four cents a share, comfortably ahead of estimates. But look at the GAAP number right next to it: thirty three cents. Less than half. That gap is not just stock comp — there's something else in there, and we're about to find it. TARGET 24s.

THE FULL EXPLANATION (for you, not on screen)

The number in every headline was \$0.94 a share, comfortably ahead of estimates. Sitting right next to it, almost unremarked: what Marvell actually earned under standard accounting rules was only \$0.33 a share. Stock handed to employees explains some of that gap. It does not explain all of it — there's a second item in there, and we're about to find it.

SOURCE: 8-K EX-99.1, Q2 FY27 · quarter ended August 1 2026

SLIDE 3 of 9 · FINDING 1 OF 4

The biggest beat. The worst reaction.

Each dot: the next session's move. The label: the beat size.

ON SCREEN: This was the biggest beat in six quarters. The stock fell anyway.

WHAT TO SAY

Finding one. Marvell's stock does not trade on whether it beats guidance — it always beats guidance, by a little, like clockwork. Every single quarter for the last eight has landed above the midpoint the company set three months earlier. Today's beat, thirty nine million dollars, was the biggest of the last seven quarters. And the stock still fell more than ten percent. Look at the pattern across two years: reactions ranging from plus twenty three percent to minus twenty percent, with no relationship at all to how big the beat was. What actually moved it today was three lines down in the outlook: next quarter's margin guide, which came in below what the company just delivered.
TARGET 30s.

THE FULL EXPLANATION (for you, not on screen)

Marvell has beaten its own guidance midpoint every single quarter shown here — anywhere from \$6.0M to \$20.0M in the six quarters between Q3'25's outsized beat and today, and by \$39.0M today, comfortably the biggest of that run. None of that predicts the reaction. Reactions here span from -20% to +23%, with no relationship to beat size at all. What actually moved the stock today was three lines down in the outlook: Q3's guided margin, which came in below what the company just delivered.

SOURCE: eight 8-K EX-99.1 releases, Dec 2024 – Aug 2026

SLIDE 4 of 9 • FINDING 2 OF 4

One segment is 79% of the revenue

Revenue by end market, three quarters. Data Center against everything else.

ON SCREEN: Data Center: +46% year over year. Everything else: -3% quarter over quarter.

WHAT TO SAY

*Finding two. Marvell reports one blended growth number, thirty seven percent. That hides what's actually happening underneath. Data Center revenue: up forty six percent year over year, now seventy nine percent of the entire company. Everything else — enterprise networking, carrier infrastructure, consumer — actually shrank three percent from the quarter before. This is not a broad-based beat. It is one segment, growing very fast, carrying every other part of the business on its back. **TARGET 28s.***

THE FULL EXPLANATION (for you, not on screen)

Marvell reports one blended growth number, 37%. It hides what's underneath. Data Center revenue grew 46% year over year and 18% sequentially — it is now 79% of the whole company, up from 74% a year ago. Communications and other actually fell 3% from the quarter before, even though it's still up 10% year over year. This is not a broad-based beat. It's one segment, growing very fast, carrying every other part of the business on its back.

SOURCE: 8-K EX-99.1, Q2 FY27 — Quarterly Revenue Trend by end market

SLIDE 5 of 9 • FINDING 3 OF 4

A liability that grows when the stock does

The Celestial AI earnout, marked to Marvell's own stock.

ON SCREEN: \$303M of GAAP earnings, spent managing Marvell's own earnout exposure.

WHAT TO SAY

Finding three, and this is the one that explains the GAAP-to-non-GAAP gap from the scoreboard slide. In February, Marvell paid three and a half billion dollars for a company called Celestial AI — fifty five percent of it in stock, twenty four and a half million new shares. Celestial's revenue so far: the filing's own words, 'not material.' But here's the part nobody flagged: part of that deal is an earnout, and its accounting value is modeled off Marvell's OWN stock price. As the stock ran up on AI headlines this year, that liability swelled — three hundred two million dollars of GAAP earnings drag in just two quarters, net of a hedge Marvell had to go buy specifically to manage the exposure it created. That's real money spent managing an accounting mechanism, not the business. TARGET 32s.

THE FULL EXPLANATION (for you, not on screen)

Marvell paid \$3.5B for a company called Celestial AI — more than half in stock, not cash. Part of the payment is a bonus tied to future results, calculated using Marvell's OWN share price. So when the stock jumps on unrelated AI news, this bonus liability jumps too — it grew from \$316M to \$648M in one quarter, and Marvell had to buy a hedge on its own shares just to manage it. That's not money spent on chips or engineers. It's \$303M spent managing a problem Marvell created for itself.

SOURCE: 10-Q Notes 4 and 6

SLIDE 6 of 9 · FINDING 4 OF 4

NVIDIA isn't just a customer here

ON SCREEN: NVIDIA's stake is already worth 136% more than it paid.

WHAT TO SAY

Finding four. Buried in the same note as the Celestial earnout: on March thirty first, NVIDIA bought two billion dollars of Marvell preferred stock. Convertible into common shares at ninety one dollars and eighty four cents each. Marvell trades today well over double that. NVIDIA is not just designing chips with Marvell — it is sitting on a stake that is already deeply in the money, and almost nobody covering this earnings report mentioned it. TARGET 26s.

THE FULL EXPLANATION (for you, not on screen)

Buried in the same note as the Celestial earnout: on March 31, 2026, NVIDIA bought \$2.0B of Marvell Series A Convertible Preferred Stock, convertible into up to 21.8 million common shares at \$91.84 each. Marvell trades at \$216.70 today — 136% above that conversion price. NVIDIA is not just designing chips alongside Marvell. It is sitting on a strategic equity stake that is already deeply in the money, and almost nothing written about this earnings report mentioned it.

SOURCE: 10-Q Note 10, Stockholders' Equity

SLIDE 7 of 9 · WHAT THE INSIDERS ARE DOING

Seven sellers. Zero real buyers.

Shares sold vs. bought, by how recent the filing is.

ON SCREEN: \$48.1M sold. The only buying was a payroll-deduction plan.

WHAT TO SAY

One more thing, and it took the most digging of anything in this episode: every Form 4 Marvell's executives and directors have filed in the last sixteen months, re-parsed by hand because no single filing adds this up. Seven people sold stock — the CEO, the COO, the Data Center president, the general counsel, and both the outgoing and incoming CFO — forty eight million dollars combined. Most of it, about eighty percent, was on a pre-set trading plan scheduled months ahead, which is the fair, boring explanation for most insider selling. But one sale wasn't on any plan: the brand new CFO, eight days into the job, sold shares with no 10b5-1 plan cited anywhere in the filing. And here's the part that actually surprised me: in sixteen months, the only shares anyone bought were twenty seven thousand two hundred shares, picked up by four executives on the exact same day, at the exact same price — a routine paycheck stock-purchase plan, not a single person deciding this was a good time to buy. Seven sellers. Zero real buyers. TARGET 32s.

THE FULL EXPLANATION (for you, not on screen)

Recomputed from every Form 4 Marvell's executives filed over 16 months — no single filing adds this up. Seven people sold a combined \$48.1M, led by the Data Center president, the CEO, and the COO. Most of it — 79% of the sale filings — was set up months in advance, not a same-day call. The exception: the brand-new CFO sold shares just eight days into the job, with no such plan on file. And the only buying in that whole window was one routine payroll-deduction purchase, not a person deciding to buy.

SOURCE: 101 Form 4 filings, re-parsed from cached SEC XML

SLIDE 8 of 9 · SO WHAT DOES IT COST? [cuttable for time]

Cheaper than Broadcom. Growing slower too.

Market value against the latest quarter annualized, growth beside.

ON SCREEN: 0.9× Broadcom's multiple, but growing 11 points slower.

WHAT TO SAY

So what are you paying for this? Same yardstick for everyone: market value against the latest reported quarter, annualized, growth right beside it. Against Broadcom — the closest direct comparison in custom AI silicon — Marvell trades at a real discount per dollar of sales. But check growth before you call that cheap: Marvell is growing meaningfully slower than Broadcom right now. A real discount, against a real growth gap — on a growth-adjusted basis the two are closer than the sticker price alone suggests. TARGET 24s.

THE FULL EXPLANATION (for you, not on screen)

Same yardstick for everyone here: what the market pays for each dollar of a company's sales. Against Broadcom — the closest direct comparison in custom AI silicon — Marvell costs about 88 cents on the dollar. That looks cheap until you check growth: Marvell's revenue grew 37% against Broadcom's 48%. An 11-point growth gap on a roughly 12% cheaper price tag is not automatically a bargain — the two look closer once you weigh in how fast each one is growing.

SOURCE: Live market caps · each company's latest reported quarter, annualized

Real growth, taxed by its own accounting.

My model's range, against today's price.

ON SCREEN: My call: WATCH. Interesting at \$210.59 or lower.

WHAT TO SAY

So here's the whole story on one ruler. My model: a rough case if Data Center growth cools and margins keep compressing, a base case if the current trajectory holds, and a bull case that needs Marvell to keep compounding Data Center at close to today's pace with real margin expansion. Today's price sits between my base and bull cases — the ten percent drop bought you a better entry, not a cheap stock. Everything genuinely working here — the Data Center growth, NVIDIA's own money, the low leverage — is mostly already in the price. What's not fully priced: three hundred two million dollars a year of accounting noise from one earnout, and a second segment that just went negative. My call is WATCH. My line is on the ruler, halfway between base and bull. That's the fundamentals — now let's go to the chart.

THE FULL EXPLANATION (for you, not on screen)

That ruler is the whole episode. My model: \$42.44 if growth cools and margins shrink, \$122.61 in my base case, \$298.58 in a bull case where Data Center keeps growing near today's pace. Today sits 27% below my bull case. Everything working — the growth, NVIDIA's money, the low debt — is mostly already priced in. What's not: \$303M a year of noise from one earnout, and a segment that just shrank. My line is \$210.59, halfway between base and bull. Near it or below, the odds work for you. That's the fundamentals — now to the chart.

SOURCE: My call · my model, not financial advice

SOURCES

Every figure in this deck traces to one of these. Full detail (live API routes, flagged vendor disagreements) is in SOURCES.md in the episode folder.

8k-q2fy27 — 8-K EX-99.1 — Q2 FY2027 results (quarter ended Aug 1 2026), filed Aug 27 2026

https://www.sec.gov/Archives/edgar/data/1835632/000183563226000022/q227_8kx812026ex-991.htm

8k-q1fy27 — 8-K EX-99.1 — Q1 FY2027 results (quarter ended May 2 2026), filed May 27 2026

https://www.sec.gov/Archives/edgar/data/1835632/000183563226000014/q127_8kx522026ex-991.htm

10q-q1fy27 — 10-Q for the quarter ended May 2 2026, filed May 28 2026

<https://www.sec.gov/Archives/edgar/data/1835632/000183563226000019/mrvl-20260502.htm>

10k-fy26 — 10-K for fiscal year ended Jan 31 2026, filed Mar 11 2026

<https://www.sec.gov/Archives/edgar/data/1835632/000183563226000011/mrvl-20260131.htm>

8k-q4fy26 — 8-K EX-99.1 — Q4 & FY2026 results (quarter ended Jan 31 2026), filed Mar 5 2026

https://www.sec.gov/Archives/edgar/data/1835632/000183563226000006/q426_8kx1312026ex-991.htm

8k-q3fy26 — 8-K EX-99.1 — Q3 FY2026 results (quarter ended Nov 1 2025), filed Dec 2 2025

https://www.sec.gov/Archives/edgar/data/1835632/000183563225000193/q326_8kx1112025ex-991.htm

8k-q2fy26 — 8-K EX-99.1 — Q2 FY2026 results (quarter ended Aug 2 2025), filed Aug 28 2025

https://www.sec.gov/Archives/edgar/data/1835632/000183563225000187/q226_8kx822025ex-991.htm

8k-q1fy26 — 8-K EX-99.1 — Q1 FY2026 results (quarter ended May 3 2025), filed May 29 2025

https://www.sec.gov/Archives/edgar/data/1835632/000183563225000115/q126_8kx532025ex-991.htm

8k-q4fy25 — 8-K EX-99.1 — Q4 & FY2025 results (quarter ended Feb 1 2025), filed Mar 5 2025

https://www.sec.gov/Archives/edgar/data/1835632/000183563225000051/q425_8kx212025ex-991.htm

8k-q3fy25 — 8-K EX-99.1 — Q3 FY2025 results (quarter ended Nov 2 2024), filed Dec 3 2024

https://www.sec.gov/Archives/edgar/data/1835632/000183563224000197/q325_8kx1122024ex-991.htm

form4 — Form 4 filings, executive officers and directors, Apr 17 2025 - Aug 17 2026 (101 filings, aggregated and re-parsed from cached XML)

<https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK;=0001835632&type;=4>